

LEXTRACT

Commercial Lease Due Diligence Checklist

For acquisitions, portfolio reviews, and lease-up

Section 1 — Rent Roll Verification

- ☐ Confirm all tenants on the rent roll have executed leases on file
- ☐ Verify current in-place rent against each lease's current rent schedule
- ☐ Identify any side letters, concessions, or informal arrangements not in the lease
- ☐ Confirm all rent abatements, free rent periods, and their remaining duration
- ☐ Flag tenants paying below-market rent and assess economic impact on value
- ☐ Verify security deposit amounts on hand match lease schedules

Section 2 — Lease Document Review

- ☐ Confirm fully executed copy of every lease, amendment, and exhibit is available
- ☐ Identify all amendments and riders and verify they are reflected in the rent roll
- ☐ Check for any lease guaranties and confirm current validity of each guarantor
- ☐ Verify no unexercised options that could encumber future ownership
- ☐ Confirm lease is binding on successors and assigns (standard assignment clause)
- ☐ Review any side letter or comfort letter that modifies economic terms

Section 3 — Tenant Financial Status

- ☐ Assess payment history for last 24 months for each tenant
- ☐ Identify any tenants in arrears or with recurring late payment patterns
- ☐ Review any prior default notices or cure letters on file
- ☐ Assess tenant credit quality: public company financials, Dun & Bradstreet, etc.
- ☐ Identify any tenants in active bankruptcy or reorganization proceedings
- ☐ Flag any tenants on month-to-month holdover and assess rollover risk

Section 4 — Options & Encumbrances

- ☐ Inventory all unexercised renewal options and their notice deadlines
- ☐ Identify all ROFOs and ROFRs that could affect future sale or lease
- ☐ Confirm no outstanding expansion options that could reduce vacant space
- ☐ Review all co-tenancy clauses and assess whether current anchor status is stable
- ☐ Identify any ground lease or master lease structure affecting title

Section 5 — Operating Expense Obligations

- ☐ Quantify outstanding TI allowances and landlord work obligations
- ☐ Calculate total remaining free rent obligations across all tenants
- ☐ Assess deferred maintenance and landlord repair obligations per lease
- ☐ Review CAM reconciliation status: any open disputes or unpaid amounts
- ☐ Confirm all estoppel certificates are current (dated within 30 days of close)

Section 6 — Insurance & Legal Compliance

- ☐ Verify all tenants carry required insurance and landlord is named additional insured
- ☐ Confirm landlord's property and liability insurance is in force through close
- ☐ Review any pending litigation involving the property or any tenant
- ☐ Check zoning compliance for all tenant uses
- ☐ Confirm certificate of occupancy is in place for all occupied spaces

Section 7 — Rollover & Leasing Risk

- ☐ Identify all leases expiring within 12, 24, and 36 months
- ☐ Calculate percentage of total GLA at risk of rollover in each period
- ☐ Assess market absorption and achievable renewal/replacement rents
- ☐ Review any exclusive use restrictions that limit re-leasing flexibility
- ☐ Estimate leasing cost exposure: TI, free rent, broker commissions per square foot

Lextract processes your entire rent roll in minutes

-  Upload each lease PDF — Lextract extracts all critical due diligence fields automatically
-  Options, encumbrances, TI obligations, and rollover risk are extracted and flagged in seconds
-  Export a structured CSV for your model or share the PDF abstract with your team

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